

Response to Federal Reserve Examination -- Tax Reserve Meth

Reference: FRB-EX-2025-AMX-004 | Date: 2025-09-15 | Division: Enterprise Tax | Regulator: Federal Reserve Bank of New York

=====

1. Background

In connection with the Federal Reserve's annual supervisory examination of American Express Company as a Bank Holding Company, the examination team has requested documentation of the methodology used to establish tax reserves (uncertain tax positions) under ASC 740-10.

As of December 31, 2024, AMEX reported total unrecognized tax benefits of \$2.8B on the consolidated balance sheet, an increase of \$340M from the prior year.

2. Tax Reserve Methodology

AMEX follows a two-step process for establishing tax reserves under ASC 740-10-25: (1) Recognition: A tax position is recognized only when it is more likely than not (>50% probability) that the position will be sustained upon examination. (2) Measurement: Recognized positions are measured at the largest amount of benefit that has a greater than 50% likelihood of being realized upon settlement.

The tax department maintains a database of approximately 850 individual tax positions across 45 jurisdictions, each supported by a technical memorandum and probability assessment.

3. Significant Tax Positions

The five largest uncertain tax positions are: (1) Transfer pricing -- intercompany services: \$780M reserve, more-likely-than-not sustained at 65% confidence. (2) Foreign tax credit -- DST creditability: \$420M reserve, MLTN at 55% confidence. (3) State apportionment methodology: \$310M reserve, MLTN at 70% confidence. (4) R&D credit -- software development: \$195M reserve, MLTN at 60% confidence. (5) GILTI high-tax exclusion: \$145M reserve, MLTN at 75% confidence.

The increase in reserves is primarily attributable to the DST creditability position following the 2022 Final Foreign Tax Credit Regulations.

4. Governance and Oversight

Tax reserves are reviewed quarterly by the Tax Reserve Committee (chaired by the VP of Tax) and presented to the Audit Committee of the Board of Directors semi-annually. External auditors (PricewaterhouseCoopers LLP) independently assess the reasonableness of tax positions as part of the annual financial statement audit.